AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Rocket Lab

NASDAQ : RKLB · Young-Company DCF (Damodaran)

$81.4B mkt cap · 573M sh · $830M cash, zero debt · $1.85B backlog (+73% YoY, FY25); Neutron first launch targeted Q4 2026; FY25 revenue $602M (+38%)

31 May 2026 · the qualitative

$142.00

THE CENTRAL QUESTION

Does ~135x sales (~$81B on $602M FY25 revenue) price a realistic path to a space prime — or a SpaceX-scale outcome a decade of fundamentals can't reach?

Rocket Lab trades at ~$81B on $602M FY25 revenue — ~135x sales. Electron (#2 small-lift) + Neutron (reusable medium-lift, Q4 2026 debut) + a vertically-integrated Space Systems segment with a path to owned constellations. The DCF asks what scale, prime margins, and — in the upper scenarios — a Starlink-style constellation second act are plausible over a decade. The finding: launch+systems alone is priced beyond ten years; only if RKLB originates an owned constellation does the ultra-bull clear spot (+159%, a ~$213B smaller-SpaceX) — even then the modal base leaves the weighted ~-63%: the market prices near-certain success.

PROBABILITY-WEIGHTED EXPECTED VALUE

$52.04 expected fair value today

-63.4% vs spot $142.00

FORWARD COMPOUNDED VALUE

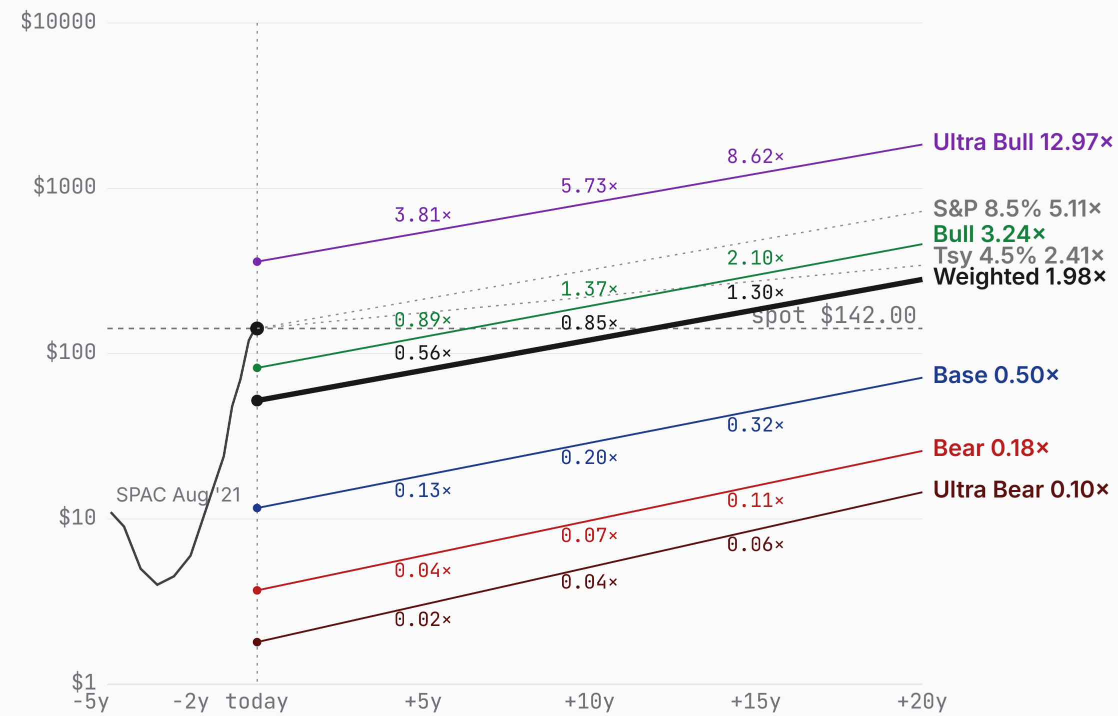
+5y	+10y	+15y	+20y
$79.31	$120.92	$184.42	$281.36
0.56× spot	0.85× spot	1.30× spot	1.98× spot

WEIGHTING RATIONALE

Ultra Bear 10% Neutron fails; dilution; SpaceX runs away.
Bear 25% Neutron slips; credible #2 but capped.
Base 35% Neutron works; #2 + Space Systems prime ~18%.
Bull 22% Reusable Neutron scales; top-3 + owned constellation begins.
Ultra Bull 8% Starlink-style constellation; ~$213B smaller-SpaceX — clears spot.

Bull (22%) + Ultra Bull (8%) together contribute $46.86 — 90% of the $52.04 expected value despite 30% combined probability. Today's spot ($142.00) sits 173% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$1.80	$3.70	$11.65	$82.02	$360.14
-98.7% vs spot	-97.4% vs spot	-91.8% vs spot	-42.2% vs spot	+153.6% vs spot
TAM 1.1% P(fail) 25% S2C 1.7 Prob 10%	TAM 2.4% P(fail) 12% S2C 1.9 Prob 25%	TAM 4.9% P(fail) 5% S2C 2.1 Prob 35%	TAM 13.8% P(fail) 3% S2C 2.4 Prob 22%	TAM 30.4% P(fail) 2% S2C 2.5 Prob 8%
Neutron fails; dilution; SpaceX runs away.	Neutron slips; #2 but sub-scale.	Neutron works; #2 prime; 18% margin.	Neutron scales; owned-constellation second act begins.	Starlink-style constellation; smaller-SpaceX by 2035.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Rocket Lab scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 10% Bear 25% Base 35% Bull 22% Ultra Bull 8% · Weighted expected $52.04 (-63.4% vs spot)

ULTRA BEAR $1.80

-98.7% vs spot

Probability 10%

Neutron fails; dilution; SpaceX runs away.

WHY 10%

The compound bear: a Neutron failure (the FY26 tank-test failure is a real datapoint) plus Space Systems deceleration plus persistent thin margins. Aerospace hardware is unforgiving and SpaceX's cost curve is brutal. 25% within-scenario failure probability reflects that RKLB, while revenue-generating with $1.85B backlog, is still capital-hungry and Neutron-dependent for the bull thesis.

WHAT HAPPENS

Neutron's tank-test troubles compound into a failed or indefinitely delayed program; RKLB stays a sub-scale small-lift + components shop. Launch cadence stalls, Space Systems growth decelerates as satellite primes in-source, and gross margins stay structurally thin against a fixed-cost manufacturing base.

Repeated dilutive ATM raises fund the burn (start cash $0.83B), share count creeps toward 590M, and by FY35 revenue is ~$1.4B at ~7-8% operating margin. With a 25% probability of an outright restructuring/recap, the expected per-share collapses toward the distress floor — orders of magnitude below today's price.

BEAR $3.70

-97.4% vs spot

Probability 25%

Neutron slips; #2 but sub-scale.

WHY 25%

Neutron works but underwhelms on cadence/cost; Space Systems grows steadily without becoming a prime. 12% failure probability — lower than a pre-revenue name given backlog and balance sheet, but Neutron execution risk is real. The 25% weight reflects this as a very plausible 'competent but capped' outcome.

WHAT HAPPENS

Neutron eventually flies but late and at low cadence; RKLB remains a credible #2 launch name and a solid Space Systems supplier, but never escapes SpaceX's shadow on cost or volume. Revenue compounds to ~$2.85B by FY35 at ~12% operating margin — real, but a fraction of the bull trajectory.

Modest dilution funds the Neutron ramp. The DCF lands in the low-single-digit dollars per share — the market is pricing a far larger outcome. This is the 'good company, wrong price' world.

BASE $11.65

-91.8% vs spot

Probability 35%

Neutron works; #2 prime; 18% margin.

WHY 35%

Requires the least faith: Neutron works (not dominates), Space Systems keeps compounding, margins reach an aerospace-prime ~18%. No SpaceX-toppling assumption. 5% failure probability given backlog, cash, and revenue diversification. 35% weight as the central outcome.

WHAT HAPPENS

The modal path: Neutron certifies and reaches meaningful cadence, RKLB consolidates the clear #2 launch position, and the vertically-integrated Space Systems business scales into a genuine space prime. Revenue compounds ~25% to ~$5.9B by FY35 at an ~18% mature operating margin — aerospace-prime economics, not software.

Light early dilution; the business self-funds by the late 2020s. DCF ~$12/share. Even this constructive base case sits ~92% below today's $142 — a measure of how much the market is paying for a larger, faster outcome than a successful-but-rational base implies.

BULL $82.02

-42.2% vs spot

Probability 22%

Neutron scales; owned-constellation second act begins.

WHY 22%

A chain: Neutron reusability works AND captures share AND Space Systems scales AND an owned constellation begins generating recurring revenue. Each plausible at 50-70%; jointly ~22%. RKLB has the balance sheet, backlog, and vertical integration — but it is conjunctive.

WHAT HAPPENS

The bull: Neutron's reusability lands RKLB real medium-lift share, Space Systems becomes a top-tier prime, AND RKLB begins operating its own constellation — recurring, higher-margin data/services revenue layered on launch+systems. Revenue compounds toward ~$16.5B by FY35 at a ~31% blended operating margin.

Minimal dilution; strong self-funding. DCF ~$82/share — still ~42% below spot, but the owned-constellation second act is now visible in the numbers, not just the story. The launch business is the wedge; the constellation is the business.

ULTRA BULL $360.14

+153.6% vs spot

Probability 8%

Starlink-style constellation; smaller-SpaceX by 2035.

WHY 8%

Tail of tails: every bull condition hits AND RKLB originates an owned constellation at platform scale AND earns a platform terminal as the network-economies Power lands. Individually 50-65%; jointly ~8%. The Starlink analog is the anchor; the §6d constellation lead/lag metrics are the falsifiers.

WHAT HAPPENS

The tail (the second act): RKLB originates a Starlink-style owned constellation on top of a vertically-integrated launch+systems prime — recurring data/services revenue at platform margins. Revenue reaches ~$36.5B by FY35 at a ~38% blended margin, with a platform terminal reflecting the originated network-economies Power (§6d).

DCF ~$367/share — equity ~$213B, a credible smaller-SpaceX (~5.8x sales, vs SpaceX's ~23x private mark, most of which is Starlink). The genuine exponential tail, and it finally clears spot (+159%): the value is the constellation, not the rockets.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

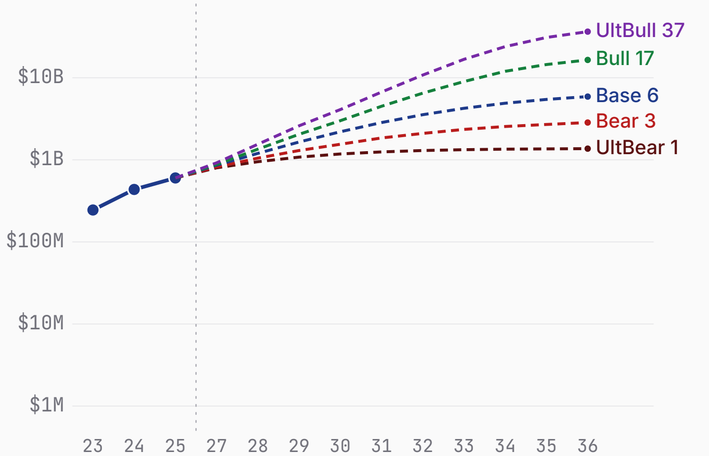
31 May 2026 · the snapshot

Rocket Lab business snapshot

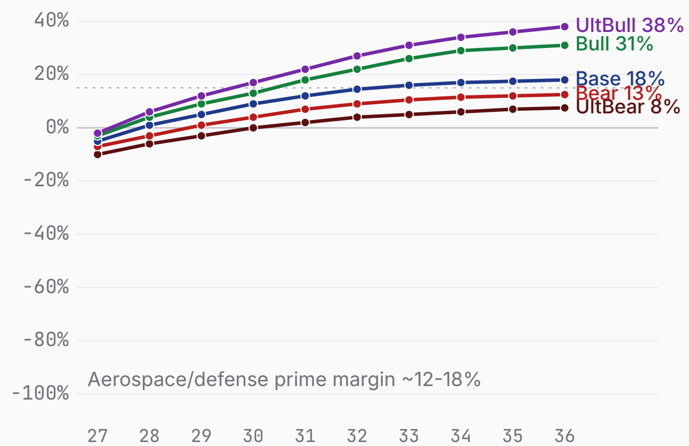
Bear $3.70 Base $11.65 Bull $82.02

FY23-FY25 history + FY26-FY35 scenario projections · fiscal years end Dec 31 · 10-K FY25, Q4'25 release

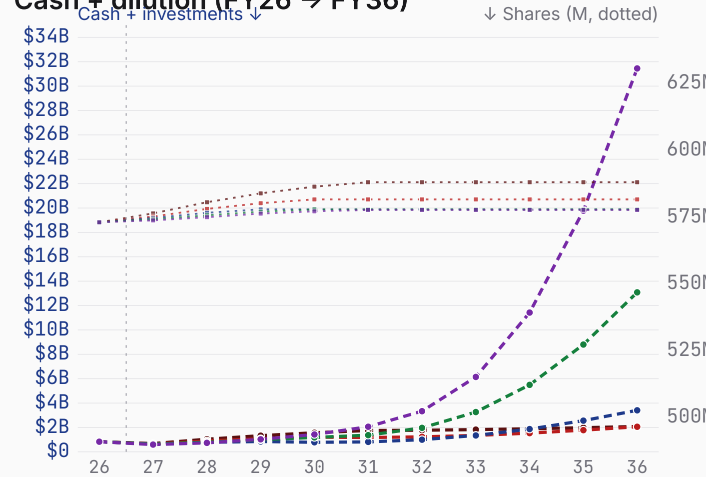
Revenue — history + scenarios to FY36 (log)



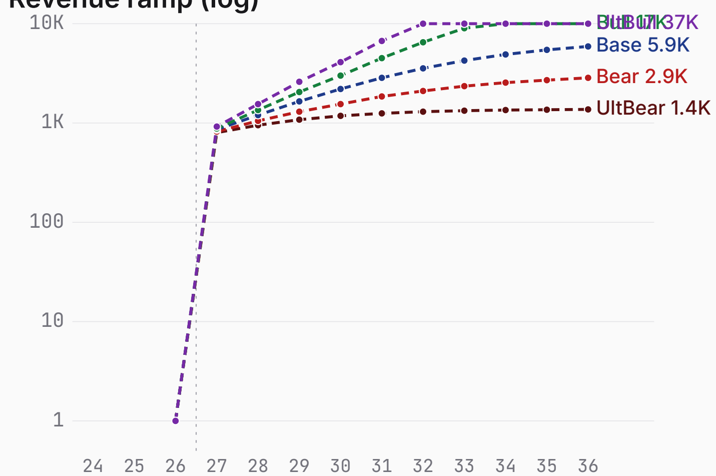
Path to profitability — op margin (FY27→FY36)



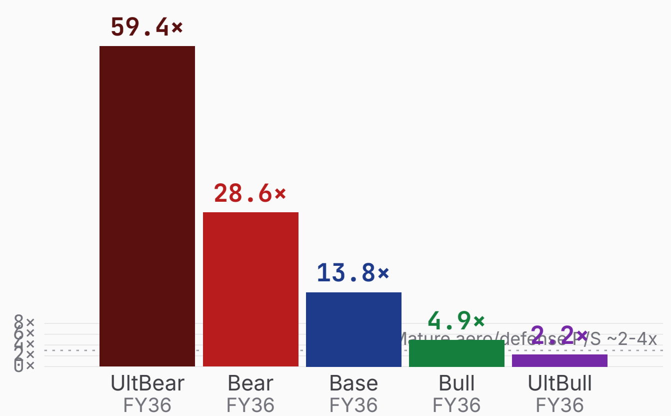
Cash + dilution (FY26 → FY36)



Revenue ramp (log)

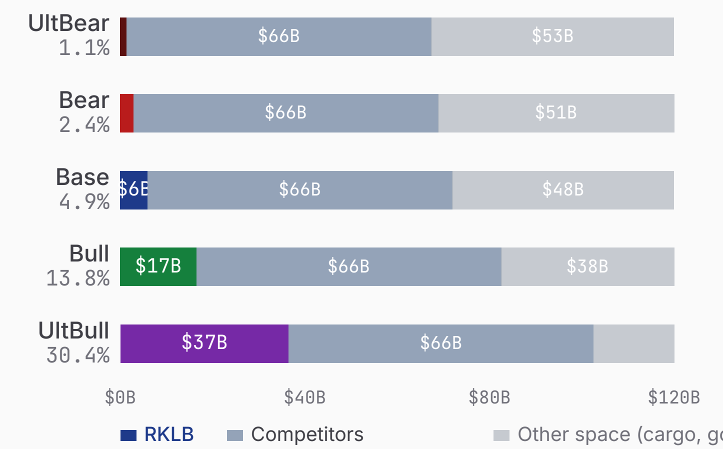


$81.40B mkt cap as P/S on FY36 rev



At ~135x sales today, every scenario implies massive multiple compression.

$120B FY35 launch + space-systems TAM — RKLB share



Sources: RKLB FY2025 results (Feb 2026), Q4'25 8-K, company guidance. FCF is NOL-shielded pre-tax over the explicit window (documented simplification). TAM: launch + space-systems serviceable slice, ~$120B by FY35.

Rocket Lab 7 Powers · the moat, scored

Bear $3.70 Base $11.65 Bull $82.02

Arena. Space launch + space systems — Rocket Lab (Electron small-lift, Neutron medium-lift reusable coming, vertically-integrated Space Systems) vs SpaceX (dominant), Firefly, Stoke Space, ULA/Blue Origin; the race to become a vertically-integrated space prime.

POWER ORIGINATION
origination window: open

POWER ORIGINATION · 7 POWERS

Scale Economies	Electron cadence builds a learning curve; Neutron reusability could reset cost, but it is pre-launch.
Network Economies	Owned-constellation/data flywheel — the ultra-bull second act (§6c.11.1); being originated, not yet established.
Counter-Positioning	Vertically integrated launch + components + future constellation — few new-space peers can replicate the full stack.
Switching Costs	Space Systems components get designed-in (some lock-in); launch is largely contestable.
Branding	The credible #2 launch brand after SpaceX; strong gov/defense trust.
Cornered Resource · thesis leans here	Launch sites/licenses, an acquired vertically-integrated component portfolio, Beck-led engineering talent, Neutron IP.
Process Power	Electron reliability + manufacturing learning curve; a genuine, if narrow, process edge.

THE RACE · NAMED RIVALS

SpaceX — $ tens of B; Starlink cash flow
~45% terminal share · Falcon 9 cadence + Starship + Starlink — the gravity well of the industry.

ULA / Blue Origin — Boeing/LM + Bezos
~12% terminal share · Vulcan / New Glenn; legacy contracts + Bezos capital.

Firefly Aerospace — public; funded
~8% terminal share · Alpha + Elytra + MLV; lunar lander; recently public.

Stoke Space — ~$ hundreds M
~5% terminal share · Fully reusable from day one; early but ambitious.

LEAD / LAG · FALSIFIERS

Medium-lift reusable launch	Neutron pre-launch vs Falcon 9 + Starship	LAGGING
Launch cadence (per yr)	~15-20 (Electron) vs >100 (SpaceX)	LAGGING
Space Systems revenue scale	leading new-space vs fragmented	LEADING

> **COMPETITIVE READ**
> Rocket Lab is originating a genuine vertically-integrated space-prime position — the credible #2 to SpaceX — with real Space Systems scale, a $1.85B backlog, and Neutron optionality. But it lags SpaceX by an order of magnitude on launch cadence/reusability, and Neutron is unproven; the window is open as the #2, but SpaceX's cost-and-scale gravity well is the falsifier the whole bull case must clear.

Rocket Lab show your work

Bear $3.70 Base $11.65 Bull $82.02 · Weighted $52.04 (-63.4%)

ULTRA BEAR $1.80

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	1.1
Mature op margin (%)	8
Sales-to-capital	1.7
Terminal WACC (%)	11.0
Terminal growth (%)	2.5
P(failure) (%)	25
Scenario probability (%)	10

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.80	-10%	-0.20	-0.17
FY28	0.95	-6%	-0.14	-0.11
FY29	1.08	-3%	-0.11	-0.07
FY30	1.18	+0%	-0.06	-0.04
FY31	1.25	+2%	-0.02	-0.01
FY32	1.30	+4%	+0.02	+0.01
FY33	1.33	+5%	+0.05	+0.02
FY34	1.35	+6%	+0.07	+0.03
FY35	1.36	+7%	+0.09	+0.03
FY36	1.37	+8%	+0.10	+0.03

Σ PV explicit FCF	-0.28
+ PV terminal (g 2.5%)	0.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$0.10B
+ Cash & investments	$0.83B
= Equity value	$0.93B
Raised over period	$1.80B
Dilution by FY36	+3%
FY36 shares (M)	588
DCF per share	$1.58
× (1−P_fail) [75%]	$1.19
+ P_fail × distress [25% × $2.50]	$0.63
= Expected per share	**$1.80**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$3.03	$5.11	$8.61	$14.51
0.02×	0.04×	0.06×	0.10×

BEAR $3.70

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	2.4
Mature op margin (%)	13
Sales-to-capital	1.9
Terminal WACC (%)	10.2
Terminal growth (%)	3.0
P(failure) (%)	12
Scenario probability (%)	25

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.82	-7%	-0.17	-0.15
FY28	1.05	-3%	-0.15	-0.12
FY29	1.30	+1%	-0.12	-0.09
FY30	1.55	+4%	-0.07	-0.04
FY31	1.85	+7%	-0.03	-0.02
FY32	2.10	+9%	+0.06	+0.03
FY33	2.35	+11%	+0.12	+0.05
FY34	2.55	+12%	+0.19	+0.08
FY35	2.70	+12%	+0.24	+0.09
FY36	2.85	+13%	+0.28	+0.10

Σ PV explicit FCF	-0.07
+ PV terminal (g 3.0%)	1.37

EQUITY BUILD · $B & PER SHARE

Operating EV	$1.30B
+ Cash & investments	$0.83B
= Equity value	$2.13B
Raised over period	$1.20B
Dilution by FY36	+2%
FY36 shares (M)	582
DCF per share	$3.66
× (1−P_fail) [88%]	$3.22
+ P_fail × distress [12% × $4.00]	$0.48
= Expected per share	**$3.70**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$6.01	$9.77	$15.88	$25.81
0.04×	0.07×	0.11×	0.18×

BASE $11.65

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	4.9
Mature op margin (%)	18
Sales-to-capital	2.1
Terminal WACC (%)	9.5
Terminal growth (%)	3.5
P(failure) (%)	5
Scenario probability (%)	35

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.86	-5%	-0.17	-0.15
FY28	1.20	+1%	-0.15	-0.12
FY29	1.65	+5%	-0.13	-0.10
FY30	2.20	+9%	-0.06	-0.04
FY31	2.85	+12%	+0.03	+0.02
FY32	3.55	+14%	+0.18	+0.10
FY33	4.25	+16%	+0.35	+0.17
FY34	4.90	+17%	+0.52	+0.23
FY35	5.45	+18%	+0.69	+0.28
FY36	5.90	+18%	+0.85	+0.31

Σ PV explicit FCF	+0.70
+ PV terminal (g 3.5%)	5.38

EQUITY BUILD · $B & PER SHARE

Operating EV	$6.08B
+ Cash & investments	$0.83B
= Equity value	$6.91B
Raised over period	$0.75B
Dilution by FY36	+1%
FY36 shares (M)	578
DCF per share	$11.96
× (1−P_fail) [95%]	$11.36
+ P_fail × distress [5% × $6.00]	$0.30
= Expected per share	**$11.65**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$18.34	$28.87	$45.45	$71.55
0.13×	0.20×	0.32×	0.50×

BULL $82.02

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	13.8
Mature op margin (%)	31
Sales-to-capital	2.4
Terminal WACC (%)	9.0
Terminal growth (%)	5.0
P(failure) (%)	3
Scenario probability (%)	22

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.88	-3%	-0.14	-0.13
FY28	1.35	+4%	-0.14	-0.12
FY29	2.05	+9%	-0.11	-0.08
FY30	3.00	+13%	-0.01	-0.00
FY31	4.50	+18%	+0.18	+0.11
FY32	6.50	+22%	+0.60	+0.33
FY33	9.00	+26%	+1.30	+0.65
FY34	12.00	+29%	+2.23	+1.02
FY35	14.50	+30%	+3.31	+1.39
FY36	16.50	+31%	+4.28	+1.65

Σ PV explicit FCF	+4.82
+ PV terminal (g 5.0%)	43.23

EQUITY BUILD · $B & PER SHARE

Operating EV	$48.05B
+ Cash & investments	$0.83B
= Equity value	$48.88B
Raised over period	$1.00B
Dilution by FY36	+0%
FY36 shares (M)	580
DCF per share	$84.28
× (1−P_fail) [97%]	$81.75
+ P_fail × distress [3% × $9.00]	$0.27
= Expected per share	**$82.02**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$126.20	$194.17	$298.76	$459.67
0.89×	1.37×	2.10×	3.24×

ULTRA BULL $360.14

ASSUMPTIONS

TAM Year-10 ($B)	120
Mature share (%)	30.4
Mature op margin (%)	38
Sales-to-capital	2.5
Terminal WACC (%)	8.5
Terminal growth (%)	6.0
P(failure) (%)	2
Scenario probability (%)	8

10-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY27	0.92	-2%	-0.15	-0.13
FY28	1.55	+6%	-0.16	-0.13
FY29	2.60	+12%	-0.11	-0.08
FY30	4.10	+17%	+0.10	+0.07
FY31	6.70	+22%	+0.43	+0.27
FY32	10.80	+27%	+1.28	+0.72
FY33	16.80	+31%	+2.81	+1.45
FY34	24.00	+34%	+5.28	+2.51
FY35	31.00	+36%	+8.36	+3.65
FY36	36.50	+38%	+11.67	+4.70

Σ PV explicit FCF	+13.02
+ PV terminal (g 6.0%)	199.15

EQUITY BUILD · $B & PER SHARE

Operating EV	$212.17B
+ Cash & investments	$0.83B
= Equity value	$213.00B
Raised over period	$1.35B
Dilution by FY36	+0%
FY36 shares (M)	580
DCF per share	$367.24
× (1−P_fail) [98%]	$359.90
+ P_fail × distress [2% × $12.00]	$0.24
= Expected per share	**$360.14**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$541.53	$814.27	$1,224.38	$1,841.05
3.81×	5.73×	8.62×	12.97×

Rocket Lab supporting analysis · disclaimers · glossary

Bear $3.70 Base $11.65 Bull $82.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Best-capitalized new-space name.**
$0.83B cash + $1.85B backlog + ATM access; far more de-risked than pre-revenue peers.

2 **Space Systems is the hidden engine.**
The majority of revenue is components/satellites, not launch — diversified, growing, and sticky (designed-in).

3 **Neutron is optionality, not the whole thesis.**
Even modeling Neutron conservatively, Space Systems alone compounds to a real business.

4 **Reusability could reset the cost curve.**
If Neutron lands reuse economics, the bull launch-share path opens — the single biggest swing factor.

5 **Backlog visibility.**
$1.85B backlog (+73% YoY) gives unusual revenue visibility for a 'young' name.

FALSIFICATION TRIGGERS

Bull validation

Neutron reaches orbit on schedule (Q4'26) · reuse demonstrated by FY27 · Space Systems > $1B annual run-rate

Bear validation

Neutron slips beyond FY27 · gross margin stalls < 35% · Space Systems growth decelerates < 20%

Reframe needed

If reusable medium-lift cadence approaches Falcon 9 economics, the launch-share ceiling lifts materially — revisit the bull tam_share

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Do your own research.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Electron — RKLB's small-lift (~300kg) orbital rocket; the established #2 to SpaceX by launch count.

Backlog — Contracted future revenue not yet recognized; RKLB's was $1.85B (+73% YoY) at FY25.

Neutron — RKLB's reusable medium-lift (~13t) rocket targeting a Q4 2026 first launch; the core bull catalyst.

Sales-to-capital (s2c) — Damodaran reinvestment efficiency: incremental revenue per dollar of reinvested capital. Higher = more capital-efficient growth.

Space Systems — RKLB's non-launch segment: satellites, star trackers, solar, separation systems, components — the majority of revenue.